



## RESEARCH &amp; INSIGHTS HUB

# Interpreting Token Inflation

Analyzing how headline token inflation metrics materialize in different types of asset flows.

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Token emissions are closely watched figures, which are often directly computed – and directly compared – as inflation percentages. However, we think this approach fails to account for the important nuances in underlying network structures. For example, the impact of emissions on proof-of-work (PoW) systems tends to be greater than that on proof-of-stake (PoS) systems due to operational costs. Furthermore, the emission formulas within PoS systems can vary greatly, and should not be analyzed in isolation from changes in the staking ratio in our view.

We analyze the emission schedules for three leading cryptocurrencies (bitcoin, ether, and solana) and contrast how incentives have driven differences in the ability of miners/validators to retain their earnings. In particular, we find that Bitcoin's stalling hash rate growth may indicate that miners may be selling a growing portion of their revenue to cover costs. In comparison, Ethereum's growth in stake has outpaced that of its net emissions, indicating that staking acts as a net liquidity sink. Meanwhile, Solana appears to have reached a steady staking ratio, suggesting that some validator earnings may be slowly entering the market.

That said, emission schedules are not set in stone and can be changed both by hard forks or onchain votes. For example, Ethereum's burn mechanism and shift to PoS were only done in 2021 and 2022 respectively. Likewise, Solana's SIMD-0096 is set to eliminate Solana transaction fee burns from priority fees. Altogether, we think that a simple comparison of headline inflation numbers is insufficient to understand emission based flows, as networks are unique in their incentive structure and maturity.

For more details, see our [full report](#).

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